NOTE F - INCOME TAXES

The Corporation and its subsidiary file a consolidated federal income tax return. Income taxes charged to earnings in 1999, 1998, and 1997 had effective tax rates of 31.0%, 31.6%, and 32.5%, respectively. The following table sets forth a reconciliation of the statutory federal income tax rate to the Corporation's effective tax rate.

	Year Ended December 31,		
	1999	1998	1997
Statutory federal income tax rate	34.0%	34.0%	34.0%
State income taxes, net of federal income tax benefit	6.0	5.8	5.6
Tax-exempt interest on securities and loans, net of disallowed cost of funding	(9.3)	(8.4)	(6.6)
Other	.3	.2	(.5)
	31.0%	31.6%	32.5%

Provision For Income Taxes. The following table sets forth the components of the provision for income taxes.

	Year Ended December 31,		
	1999	1998	1997
	(in thousands)		
Currently payable:			
Federal	$ 2,818	$ 2,663	$ 2,733
State	1,176	1,029	896
	3,994	3,692	3,629
Deferred:			
Federal	49	85	(96)
State	18	29	33
	67	114	(63)
	$ 4,061	$ 3,806	$ 3,566

In addition to the provision shown in the table above, in 1999 the Corporation provided deferred federal and state income taxes of $487,000 and $168,000, respectively, on the $1,600,000 transition adjustment to the allowance for loan losses.

Net Deferred Tax Asset. The following table sets forth the components of the Bank's net deferred tax asset.

	December 31,	
	1999	1998
Deferred tax assets:	(in thousands)	
Unrealized losses on available-for-sale securities	$ 925	$ --
Allowance for loan losses	383	1,038
Supplemental executive retirement expense	59	55
Interest on nonperforming loans	20	38
Postretirement benefits expense	35	32
Accrued professional fees	12	12
	1,434	1,175
Valuation allowance	--	--
	1,434	1,175
Deferred tax liabilities:		
Pension expense	202	157
Accretion on bonds	3	18
Depreciation	32	6
Unrealized gains on available-for-sale securities	--	878
	237	1,059
Net deferred tax asset	$1,197	$ 116